Procure-to-Pay Compliance Handbook

Version: 5.6

Custodian: Internal Audit Department (synthetic policy written for AuditIQ-Bench)

1. Three-way check

(a) Invoice value and purchase order value are to agree; a variance of up to 5 per cent of the purchase order value is condoned, and a larger variance is an audit exception. (b) Invoiced quantity in excess of the quantity received per the goods receipt note is an audit exception. (c) Every invoice is to cite a purchase order and a goods receipt note held on record; a missing or untraceable citation is an audit exception. (d) Where the receiving remarks on a goods receipt note record rejection, damage, return or non-delivery of part of a consignment, the accepted quantity stands reduced accordingly, and invoicing beyond it is an audit exception. (e) The invoice narration is to correspond to the goods or services on the purchase order; narration of other goods or services is an audit exception.

2. Repeat invoices

(a) Re-use by a vendor of an invoice number it has used before makes the later invoice an audit exception. (b) A later invoice for the same purchase order, goods receipt and value, whose number is only a re-keyed variant of the earlier number, is likewise an audit exception.

3. GST particulars

(a) A GSTIN is fifteen alphanumeric characters long; any other length or character is an audit exception. (b) The leading two digits, the state code, are to fall in the range 01 to 37. (c) A well-formed GSTIN that differs from the GSTIN registered in the vendor master is an audit exception.

4. Vendor behaviour

(a) Not more than five invoices of one vendor may bear the same invoice date; on a breach, all invoices of that date are audit exceptions. (b) Invoices of one vendor for like goods, raised on separate days within about seven days, each within 15 per cent below the sanctioning limit of the approver and jointly above it, constitute structuring and are audit exceptions. (c) The office is closed on Sundays; an invoice dated on such a day is an audit exception. (d) An invoice value that is an exact multiple of Rs. 50,000 is an audit exception. (e) An invoice of a blacklisted vendor, or of a vendor whose GST registration status is Suspended, is an audit exception.

5. Sanctioning limits

The sanctioning limit of a Manager is Rs. 1,50,000, of a Senior Manager Rs. 5,00,000, of a Director Rs. 25,00,000 and of the CFO Rs. 1,00,00,000. An invoice sanctioned by an officer whose limit is lower than the invoice value is an audit exception.